

Strategy Trade

Foreign Exchange - ASEAN/Asia ex-Japan

Short USD/CNH: Strong trade inflows and potential DeepSeek 2.0-related inflows

RMB supportive factors include robust trade settlement, asymmetric sensitivity to USD downmoves, potential foreign inflows and stable US-China relations.

Trade: We maintain a **conviction level of 3/5 on our short USD/CNH position**, targeting 6.55 (~3.0% gain) by end-October.

We raised (on **16 July**) the conviction level on our short USD/CNH recommendation to 3/5 (from 2), as we are **leaning towards** a near-term softer USD view following the release of weaker-than-expected US June CPI and PPI data. Although there are still a few factors limiting USD's potential downside (i.e., renewed US-Iran attacks, inflows into US assets etc.), local developments should continue to support our CNH appreciation view.

Drivers of CNH outperformance

1. A continuation of robust onshore Chinese corporate FX repatriation following the large trade surplus in June. We believe Chinese corporate FX selling activity is likely to remain strong in coming months, especially with still-elevated **export growth** supporting a very large trade surplus.

- Latest **June** data on net FX trade settlement by Chinese corporates showed a surplus of USD81.8bn (May: USD53.6bn; Q2 average: USD61.0bn), which was equivalent to a robust 92.9% of the trade surplus after adjusting for RMB settlement (Figure 1). This is also the largest monthly net FX trade settlement surplus since December 2025 (i.e., USD111.3bn).
- The exporter remittance ratio (as a percentage of export value) rose to 52.5% in June (May: 46.2%; Q2 average: 49.6%), while the importers' FX demand ratio also increased to 47.0% in June (May: 44.4%; Q2 average: 46.6%).
- This strong net FX trade settlement demand **suggests Chinese corporates are increasingly willing to repatriate their USD holdings**. Amid the USD bid environment after the hawkish **June FOMC**, Chinese corporates could have converted their FX earnings to RMB as spot USD/RMB broke above the 6.80 level. We note that spot USD/CNY has tended to drift lower during Asian hours, potentially owing to onshore FX trade settlement demand (Figure 2).

2. A relatively clear downtrend in the USD/CNY fixing. Evidence of this includes the following:

- We have observed that the fixing only moved marginally higher when there was strong USD-bid momentum. Between 27 February (prior to onset of the Iran War) and 30 March, DXY gained 3.0% while the USD/CNY fixing barely changed (i.e., from 6.9228 to 6.9223). Similarly, between 16 and 24 June, DXY gained 2.1% while the USD/CNY fixing rose only marginally by 13bp.
- The Chinese authorities appear to be limiting both downside and upside in the daily fixing, the average move lower in fixing has tended to be larger than the average move higher. Since June 2026, the fixing has declined by a daily average of 33pips when the fixing came in lower (i.e., 19 sessions), but rose by a daily average of 21pips when the fixing came in higher (i.e., 17 sessions).
- Positive fixing errors (i.e., actual minus model projection) also narrowed to an average of +196pips since 18 June, from an average of +437pips between 1 and 17 June. The last time when we observed smaller positive fixing errors was in March 2026 (i.e., USD strengthened on Fed and Iran war), but that proved temporary. When USD strength faded from end-March to the start of June, downside momentum in USD/RMB emerged and the Chinese authorities had to

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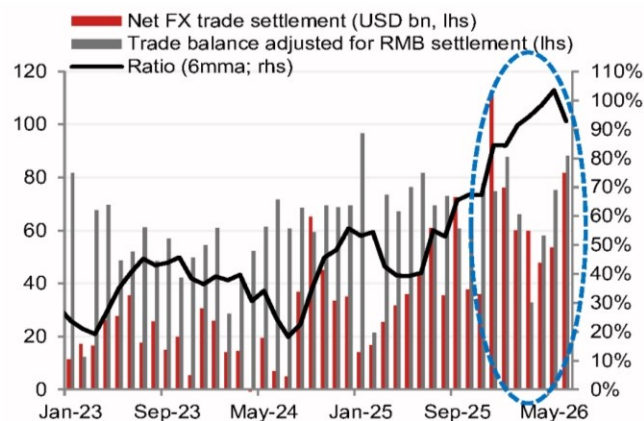
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manage the pace of RMB appreciation (i.e., positive fixing errors widened). We expect positive fixing errors to remain wide over coming months, owing to China's strong external sector outlook, positive corporate sector sentiment on RMB (i.e., FX remittances) and scope for medium-term USD weakness.

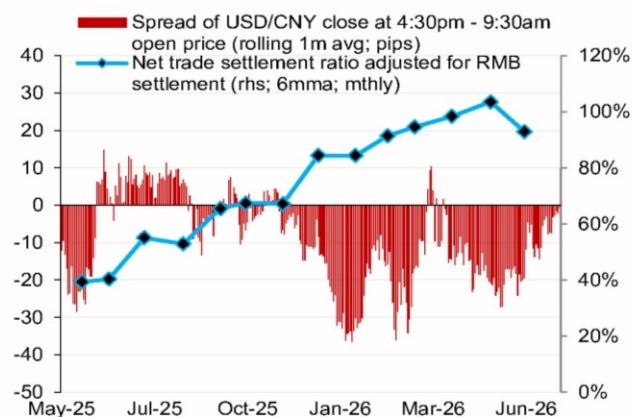
3. **Similar to the daily fixing, USD/CNH has been more sensitive to downmoves in DXY than upmoves.** We *previously highlighted* that USD/CNH has been more sensitive to DXY downmoves than upmoves. This pattern has remained observable in recent sessions. Specifically, USD/CNH drifted 0.84% higher from 16 to 24 June, as DXY experienced a relatively outsized 2.1% upward move (sensitivity of 38%). This compares with the 0.68% move lower in USD/CNH from 24 June to 21 July, as DXY fell by a smaller 0.64% (sensitivity of 106%).
4. **China closing the AI LLM technological gap and recent, broad state support for Chinese tech equities are factors that could encourage foreign equity inflows.** On 16 July 2026, Moonshot AI (a leading AI lab in China) released a large language model (LLM) named *Kimi K3* that performed well ahead of many of the most advanced US LLM models. Although the release initially fed into an ongoing selloff in Chinese and global tech equities (*Bloomberg*, 18 July), the selloff in Chinese equities reversed after *Bloomberg* reported (20 and 21 July) that China's major state-backed funds, five largest insurers, and state-backed asset managers all signaled support to the Chinese equities, particularly those in the tech sector.
 - a. Arguably, the launch of *Kimi K3* has been compared to the launch of *DeepSeek-R1* in January 2025. Following *DeepSeek-R1* launch, we note that foreign inflows into our tracking of China-focused equity ETFs **surged to USD4.4bn and USD2.5bn in February and March 2025, respectively** (preceding 3m average: -USD2.9bn; MTD July-2026: -USD2.1bn).
 - b. It is still early days, but the recent rise of Chinese frontier AI LLMs, upcoming tech IPOs (e.g., GLM-5.2 released by Zhipu AI and ChangXin memory technology CXMT's IPO) and Chinese state support **may attract foreign inflows into Chinese equities in coming months.**
5. **Stable US-China relations.** On 16 July (EST), Trump accused China of interfering with the 2020 US election (*Bloomberg*, 17 July) which raised some concerns over the relative stability in US-China relations and President Xi's upcoming visit to the US in September. However, on 20 July (*Bloomberg*), US Secretary of State Rubio commented that he is still anticipating President Xi's visit to the US in September and that China is sending its teams to prepare for the trip. US Trade Representative Greer also commented (*Bloomberg*, 16 July) that the "number one deliverable" from the Trump-Xi Summit around 24 September is to maintain stable US-China ties. These comment should ease market concerns somewhat.
6. **The Chinese authorities' RMB internalisation efforts continues to improve the appeal of RMB assets to foreign investors.** At the Lujiazui forum (17 June 2026), PBoC Governor Pan announced a new liquidity facility for foreign central banks and official institutions called the "RMB Repo Facility for Foreign and International Monetary Authorities" (i.e., FIMA RMB Repo). This mirror the Fed's FIMA Repo facility and represents a step towards greater acceptance of RMB as a currency for trade, financial and reserves transactions.
7. **RMB appreciation should also be supported by its substantial *undervaluation*.** Based on the average of our four FX valuation models, RMB remains undervalued by 9.7%, with its productivity-adjusted REER undervalued by 20.2%.

Fig. 1: China's robust corporate net FX trade settlement



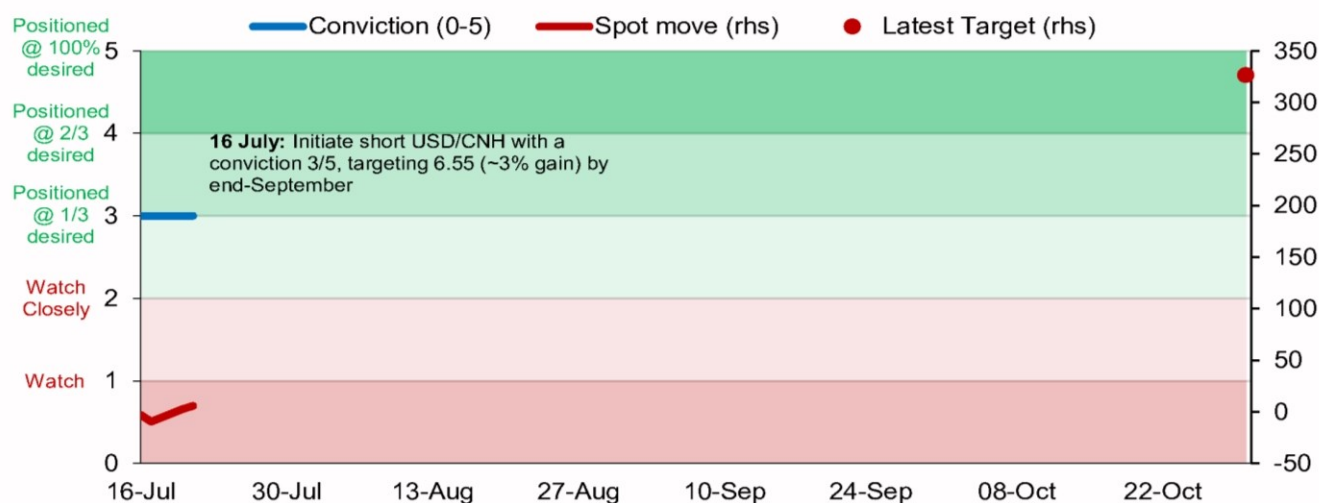
Source: Bloomberg, CEIC, Nomura.

Fig. 2: FX settlement pressuring spot USD/CNY lower



Source: : Bloomberg, Nomura.

Fig. 3: Short USD/CNH, conviction level 3/5, targeting 6.55 by end-October 2026



Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 - Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Bloomberg, Nomura.

Fig. 4: Trade ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
<u>Receive 5y5y HK IRS</u>	3.55%	end-Aug	3	17-Jul-26
<u>Long EUR/KRW</u>	1,760	end-Oct	3	17-Jul-26
<u>Long SGD/IDR</u>	-	-	2	9-Jan-26
<u>Short USD/CNH</u>	6.55	end-Oct	3	16-Jul-26
<u>Short CAD/JPY</u>	-	-	2	24-Jun-26
<u>Long CNH vs 6FX abridged basket</u>	-	-	2	24-Jun-26
<u>Receive Sep-5y Korea vs. Taiwan</u>	150bp	end-Aug	3	26-Jun-26
<u>Sep-5s10s THB flattener</u>	30bp	end-Aug	3	14-Jul-26
<u>Dec-1s4s Korea NDIRS steepener</u>	25bp	end-Aug	3	9-Jul-26
<u>Short GBP/NZD</u>	2.25	end-Sep	4	26-Jun-26
<u>Long EUR/INR</u>	113.0	end-Sep	3	3-Jul-26
<u>Short USD/THB</u>	32.0	end-Sep	3	3-Jul-26
<u>Pay AU3m1y vs US3m1y</u>	35bp move	end-Sep	3	3-Jul-26
<u>Pay Sep-3y China NDIRS</u>	1.60%	end-Aug	3	14-Apr-26
<u>Short AUD/NZD</u>	-	-	2	27-May-26
<u>Long EUR/GBP</u>	-	-	2	9-Jan-26
<u>Short USD/TWD</u>	-	-	2	25-May-26
<u>Long EUR/PHP</u>	-	-	2	25-May-26
<u>Long EUR/SEK</u>	-	-	2	17-Apr-26
<u>Long 9m USD/HKD</u>	7.8	27-Oct-26	3	23-Jan-26
<u>Long 12m USD/HKD</u>	7.8	12-May-27	3	8-May-26

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 - Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura.

Please see [Strategy portfolio update](#) (9 July 2026) for our full portfolio.

Appendix A-1

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